

NVIDIA Corporation

NVDA NASDAQ

Buy	\$224.34 ▼ 1.98%	12M Price Target \$265.00	52-Week Range \$164.27 – \$236.54	Market Cap \$5.42T
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NVDA: China Thaw Hopes Meet Insider Selling Reality

WHAT HAPPENED

- Stock is down ~2% on light volume (45M vs typical 100M+) — this looks like profit-taking after Monday's rip to \$227, not real selling. We're still sitting at 83% of the 52-week range, so nobody's panicking.
- The IonQ partnership announcement is the fresh headline — NVDA keeps expanding its tentacles into adjacent AI plays (quantum this time). Meanwhile, Trump-Xi meeting chatter is fueling hope that H2O chip sales to China get unlocked, which would be a multi-billion-dollar revenue add.

WHY IT MATTERS

Here's the tension: the market is pricing in a China re-opening (bullish), but insiders sold ~\$305M worth of stock last week — Director Mark Stevens dumped 1.36M shares and CFO Colette Kress trimmed too. When the CFO sells right before earnings season, pay attention. That doesn't mean the thesis is broken — insiders sell for lots of reasons — but combined with the bearish options flow (massive put buying at \$225/\$227.5 strikes for September expiry), somebody with money is hedging near-term downside. The bigger picture is still intact though: hyperscaler capex (Microsoft, Meta, Google, Amazon spending on data centers) is forecasted at ~\$400B in 2026, and NVDA captures the majority of AI chip dollars.

POLICY & POLITICAL WATCH

The Trump-Xi meeting is THE catalyst to watch — if a deal loosens export controls on H2O chips (the China-compliant version of NVDA's GPUs), that's \$10-15B in annualized revenue coming back online. On the flip side, the CHIPS Act 2.0 discussions in Congress could bring domestic manufacturing incentives that benefit NVDA's supply chain diversification away from Taiwan. Watch also for any AI executive order updates on model export restrictions — tighter rules on who can buy H100/H200 chips would be a headwind, though NVDA has so far navigated every restriction with a new SKU.

IS IT EXPENSIVE?

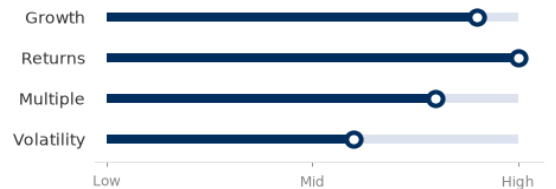
At ~\$5.4T market cap and roughly 50x forward earnings, you're paying \$50 for every \$1 of next year's profit — expensive by historical standards but not insane for a company growing revenue 50%+ with 70%+ gross margins (meaning they keep 70 cents of every dollar in sales before other costs). The justification: no other mega-cap is growing this fast with this much profitability, and if China re-opens, forward estimates go up 10-15% and the multiple compresses fast. It's expensive, but "expensive" has been the right call on NVDA for three years running.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$224.34
12M Price Target	\$265.00
Upside / (Downside)	+18.1%
Market Cap	\$5.42T
FY2026E Revenue	\$205M
FY2027E Revenue	\$265M
FY2026E EPS	\$4.45
FY2027E EPS	\$6.10
Fwd P/E	50.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$245.00	\$230.00	\$205.00
6 Months	\$275.00	\$245.00	\$190.00
1 Year	\$310.00	\$265.00	\$175.00
2 Years	\$380.00	\$300.00	\$160.00
5 Years	\$550.00	\$400.00	\$180.00
10 Years	\$900.00	\$600.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+1.29%) — likely infrastructure/tariff-related rotation. Tech is still the 5-day leader (+5.96%), meaning AI is very much still the trade.

COOLING OFF: Energy (-4.93% over 5 days) is getting slammed on demand fears and OPEC noise. Healthcare is drifting on drug pricing uncertainty.

ROTATION WATCH: Money is flowing INTO tech and out of energy/defensives — classic risk-on setup, which favors NVDA. But today's tech dip (-0.20%) suggests some near-term rotation to laggards.

RELATED PLAY: If you like NVDA but want cheaper AI exposure, look at Marvell (MRVL) — got a fresh Wall Street upgrade today on AI infrastructure, and it's the "picks and shovels for the picks and shovels" play. Also power/utility names benefiting from data center electricity demand (VST, CEG).

WHO'S WINNING IN THIS SPACE?

- MRVL (Marvell): Fresh analyst upgrade on AI infrastructure exposure — custom ASIC design wins with hyperscalers.
- IONQ (IonQ): Popping on the NVDA partnership — quantum computing is the "next AI" narrative and NVDA just validated them.

NVDA CONTEXT: NVDA is the benchmark — when it lags on a day like today while peers rally, it usually means profit-taking in the leader while capital rotates to second-derivative plays. That's actually healthy; it means the AI trade is broadening, not dying. Watch if NVDA can hold \$220 — that's the line in the sand.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Highest conviction mega-cap AI name, but near-term chop is likely given insider selling and heavy put activity into September expiry.

POSITION SIZE: 5-8% for a growth-oriented portfolio. This is a core holding, not a trade. If you're already at 8%, don't chase — trim into strength above \$235.

ENTRY POINTS: Add at \$210-215 (near the 50-day moving average). Back up the truck sub-\$200 if we get a China headline scare.

TIME HORIZON: 12-24 months. Catalysts: Trump-Xi meeting (weeks), Q3 earnings (November), CES keynote (January), Blackwell Ultra ramp (2026).

WHEN TO BAIL: Data center revenue growth drops below 30% YoY, a top-3 hyperscaler announces a major shift to custom silicon, or gross margins compress below 65%.

HEDGING: Simplest hedge — buy October \$210 puts (insurance that pays off if the stock drops below \$210 by mid-October). Costs ~1-2% of your position but protects against a China-deal-fails headline.